

**Unaudited interim condensed consolidated financial statements
of Energy Development Oman SAOC (“EDO”)
for the three months ended 31 March 2025**

Energy Development Oman SAOC

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Energy Development Oman SAOC

Board of Directors report

Responsibilities of the Board of Directors for the Energy Development of Oman ("EDO") unaudited interim condensed consolidated financial statements

The members of the EDO Board hereby declare that, to the best of their knowledge, the unaudited interim condensed consolidated financial statements for the three months ended 31 March 2025, which have been prepared in accordance with IAS 34 "Interim Financial Reporting", present fairly, in all material respects, the unaudited interim condensed consolidated financial position of EDO as at 31 March 2025 and the related unaudited interim condensed consolidated statements of profit or loss and other comprehensive income, changes in equity and cash flows for the three-month period then ended and explanatory notes.

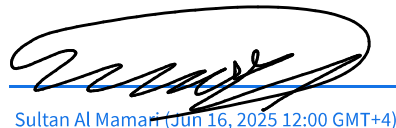
The Board of Directors of EDO approved the information contained in the unaudited interim condensed consolidated financial statements of EDO on 25 June 2025.

On behalf of the Board



Mazin Al Lamki

Chief Executive Officer
Energy Development Oman
25 June 2025


Sultan Al Mamari (Jun 16, 2025 12:00 GMT+4)

Sultan Al Mamari

Chief Financial Officer
Energy Development Oman
25 June 2025



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REPORT ON REVIEW OF UNAUDITED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS TO THE BOARD OF DIRECTORS OF ENERGY DEVELOPMENT OMAN SAOC

Introduction

We have reviewed the accompanying unaudited interim condensed consolidated statement of financial position of Energy Development Oman SAOC (the "Company") and its subsidiaries (collectively referred to as the "Group") as of 31 March 2025 and the related unaudited interim condensed consolidated statements of profit or loss and other comprehensive income, changes in equity and cash flows for the three-month period then ended and explanatory notes. Management is responsible for the preparation and presentation of these unaudited interim condensed consolidated financial statements in accordance with International Accounting Standard 34, "Interim Financial Reporting" ("IAS 34"). Our responsibility is to express a conclusion on these unaudited interim condensed consolidated financial statements based on our review.

Scope of review

We conducted our review in accordance with International Standard on Review Engagements 2410, *Review of Interim Financial Information Performed by the Independent Auditor of the Entity*. A review of unaudited interim condensed consolidated financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying unaudited interim condensed consolidated financial statements are not prepared, in all material respects, in accordance with IAS 34.

Muscat
25 June 2025



Energy Development Oman SAOC

Unaudited interim condensed consolidated statement of profit or loss and other comprehensive income

For the three-month period ended

	Notes	Unaudited 31-Mar-25 US\$'000	Unaudited 31-Mar-24 US\$'000
Revenue	3	3,768,257	3,987,732
Other operating income	5	6,204	14,884
Finance income		2,183	2,680
Total revenues and other income		3,776,644	4,005,296
Production expenses		(290,882)	(333,128)
Royalty expenses		(1,422,196)	(1,577,343)
Depreciation, depletion and amortisation		(971,742)	(1,025,149)
Other expenses		(10,886)	(13,648)
Provision for settlement of net retirement benefit assets	12	(411,033)	-
Profit before interest and tax		669,905	1,056,028
Finance costs	6	(159,685)	(165,612)
Profit before tax		510,220	890,416
Income tax expenses	14	(568,307)	(805,813)
(Loss) / profit for the period		(58,087)	84,603
Other comprehensive income that will not be reclassified to profit or loss in subsequent periods			
Re-measurement of pension fund obligation		35,397	52,713
Total comprehensive (loss) / income for the period		(22,690)	137,316

The attached notes 1 to 19 form part of these unaudited interim condensed consolidated financial statements

Energy Development Oman SAOC

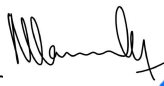
Unaudited interim condensed consolidated statement of financial position

As at 31 March

		Unaudited 31-Mar-25 US\$'000	Audited 31-Dec-24 US\$'000
	Notes		
Non-current assets			
Property, plant and equipment	7	23,753,360	23,593,981
Right-of-use assets		769,656	821,052
Receivables and prepayments		17,430	19,949
Housing loans	9	5,898	7,525
Other non-current assets		4,030	3,316
Total of non-current assets		24,550,374	24,445,823
Current assets			
Inventories		665,398	660,888
Receivables and prepayments		77,536	84,869
Due from related parties	9	1,912,300	1,802,637
Housing loans	9	1,083	2,958
Net retirement benefit assets	12	-	411,033
Cash and bank balances	10	327,944	435,486
Total of current assets		2,984,261	3,397,871
Total assets		27,534,635	27,843,694
Shareholders' equity			
Share capital		1,300	1,300
Retained earnings		10,040,399	10,075,354
Other equity contribution		127,371	121,041
Total shareholders' equity		10,169,070	10,197,695
Non current liabilities			
Provision for staff end-of-service and other retirement benefits		2,493	2,357
Lease liabilities	9	624,317	669,182
Abandonment provision	11	3,571,449	3,373,794
Deferred tax liabilities		3,068,455	3,292,483
Loans and borrowings	9	6,689,939	6,688,778
Due to related parties	9	104,105	104,594
Total of non-current liabilities		14,060,758	14,131,188
Current liabilities			
Loans and borrowings	9	578,000	907,000
Payables and accruals		2,191,849	2,244,102
Tax payables	14	285,295	105,994
Due to related parties	9	16,514	15,863
Provision for staff end-of-service and other retirement benefits		-	2,937
Lease liabilities	9	233,149	238,915
Total of current liabilities		3,304,807	3,514,811
Total liabilities		17,365,565	17,645,999
Total equity and liabilities		27,534,635	27,843,694

These unaudited interim condensed consolidated financial statements were approved and authorised for issue by the Board of Directors on 25 June 2025 and are signed on their behalf by:

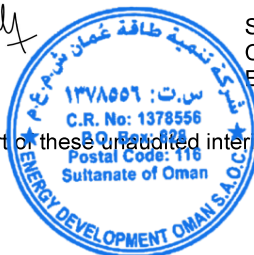
Mazin Al Lamki
Chief Executive Officer
Energy Development Oman SAOC



Sultan Al Mamari
Chief Financial Officer
Energy Development Oman SAOC



The attached notes 1 to 19 form part of these unaudited interim condensed consolidated financial statements



Energy Development Oman SAOC

Unaudited interim condensed consolidated statement of changes in equity

For the three-month period ended 31 March

		<i>Share capital</i>	<i>Retained earnings</i>	<i>Other equity contribution</i>	<i>Total equity</i>
	<i>Notes</i>	<i>US\$ 000</i>	<i>US\$ 000</i>	<i>US\$ 000</i>	<i>US\$ 000</i>
Balance at 1 January 2025 (audited)		1,300	10,075,354	121,041	10,197,695
Loss for the period (unaudited)		-	(58,087)	-	(58,087)
Other comprehensive income - re-measurement of pension fund obligation		-	35,397	-	35,397
Total comprehensive income for the period		-	(22,690)	-	(22,690)
Distribution of assets in specie	13	-	(12,265)	-	(12,265)
Capital contribution - land fees waiver		-	-	6,330	6,330
At 31 March 2025 (unaudited)		1,300	10,040,399	127,371	10,169,070
Balance at 1 January 2024 (audited)		1,300	11,047,791	-	11,049,091
Profit for the period (unaudited)		-	84,603	-	84,603
Other comprehensive income - re-measurement of pension fund obligation		-	52,713	-	52,713
Total comprehensive income for the period		-	137,316	-	137,316
Interim dividend	13	-	(998,452)	-	(998,452)
Distribution of assets in specie	13	-	(12,193)	-	(12,193)
At 31 March 2024 (unaudited)		1,300	10,174,462	-	10,175,762

The attached notes 1 to 19 form part of these unaudited interim condensed consolidated financial statements

Energy Development Oman SAOC

Unaudited interim condensed consolidated statement of cash flows

For the three-month period ended

	Notes	Unaudited 31-Mar-25 US\$'000	Unaudited 31-Mar-24 US\$'000
Operating activities:			
Profit before tax		510,220	890,416
Adjustments for:			
Depreciation and depletion on property, plant and equipment	7	954,435	1,008,734
Depreciation on right of use assets		17,307	16,415
Royalty expense		1,422,196	1,577,343
Gain on disposals of property, plant and equipment	5	(66)	(5,227)
Finance cost	6	159,685	165,612
Finance income		(2,183)	(2,680)
Provision for settlement of net retirement benefit asset	12	411,033	-
Net movement in provision for staff end-of-service and other retirement benefits		(2,801)	150
		3,469,826	3,650,763
Working capital changes:			
Changes in inventories		(4,510)	(249)
Changes in receivables and prepayments		9,852	(18,121)
Changes in amounts due from related parties		(109,663)	(343,384)
Changes in payables and accruals		(105,663)	(135,034)
Net movement in housing loans and other non-current assets		2,788	(512)
Changes in amounts due to related parties		162	3,968
Changes in restricted cash		(2,792)	(5,549)
		3,260,000	3,151,882
Income tax paid		(577,637)	(634,193)
Royalty paid		(1,375,348)	(1,457,146)
Cost associated with distribution of assets in specie	13	(12,265)	(12,193)
Net cash from operating activities		1,294,750	1,048,350
Investing activities:			
Acquisition of property, plant, and equipment		(867,696)	(890,023)
Expenditure on exploration and evaluation assets	7	(62,152)	(68,179)
Proceeds from disposal of property, plant, and equipment	7	66	5,362
Finance income received		2,183	2,680
Net cash used in investing activities		(927,599)	(950,160)
Financing activities:			
Loans and borrowings repaid		(329,000)	(346,526)
Finance cost paid		(91,689)	(83,670)
Payment of lease liabilities		(63,126)	(63,151)
Capital contribution - land fees waiver		6,330	-
Net cash used in financing activities		(477,485)	(493,347)
Decrease in cash and bank balances		(110,334)	(395,157)
Cash and bank balances at beginning of the period	10	428,570	694,553
Cash and bank balances at end of period	10	318,236	299,396

For details of non-cash transactions refer note 7, 11 and 13.

The attached notes 1 to 19 form part of these unaudited interim condensed consolidated financial statements.

Notes to the unaudited interim condensed consolidated financial statements

1. Background and Basis of Preparation

1.1 Background

Formation of EDO

Energy Development Oman SAOC (“EDO” or the “Company”) was established on 3 December 2020 in the Sultanate of Oman. EDO was registered on 24 December 2020 through Royal Decree as a 100% owned subsidiary of the Government of the Sultanate of Oman (the “Government”). The Company together with its subsidiaries (hereinafter referred to as “the Group”) has a presence in the Sultanate of Oman.

The Group has taken over the participating rights/interests of the Oil and Gas Operations of Block 6 from the Ministry of Energy and Minerals (the “MoEM”). Block 6 is the Sultanate’s largest and most significant oil and gas operation and covers a geographic area of approximately 90,000 square km., which includes a substantial part of the Oman Mountain Fold belt and Rub al Khali basins, including the Ghaba and Fahud salt basins.

The MoEM’s 60% interest in Petroleum Development Oman LLC (“PDO”), a limited liability company registered in the Sultanate of Oman in accordance with the Commercial Companies Law, as amended, and 100% interest in Gas Operations were transferred to the Group on 24 February 2021 and 6 May 2021, respectively (also referred to as the “Royal Decree”). Gas Operations are managed by PDO.

PDO is responsible for the following activities:

- i. undertaking all projects, operations, and activities directly or indirectly related to the exploration, development, extraction, transportation, storage, and delivery of crude oil in accordance with the terms of an “Oil Concession Agreement” (see below) for Block 6 (the “Oil Operations”); and
- ii. undertaking all projects, operations, and activities directly or indirectly related to the exploration, development, extraction, and transportation of NAG in accordance with the terms of “Gas Agreements” (see below) between the Government and PDO (the “Gas Operations”).

After the formation of EDO, the following subsidiaries were incorporated:

- Hydrogen Oman SPC (“HDO”) on 13 June 2022 having commercial registration certificate number 1428787. The objective of HDO is to structure and accelerate the development of the green hydrogen sector in Oman.
- Oman New Energies SPC (“ONE”) on 24 November 2022 having commercial registration number 1458799. ONE is incorporated to explore future power-related business. As of 31 March 2025, ONE is not operational, and no transactions are recorded in its books.
- EDO Gas SPC (“GasCo”) on 25 June 2023 having commercial registration certificate number 1491751. GasCo has taken over the participating right/interest of the Gas Operations of Block 6 from the EDO (w.e.f. 1 July 2023).
- On 26 June 2023, GasCo established EDO Sukuk Limited (a 100% owned subsidiary), a special purpose vehicle incorporated in the Cayman Islands. EDO Sukuk Limited was established to act as an issuer and trustee of the Sukuk trust certificates relating to the trust certificates issuance programme.
- EDO InfraCo SPC (“Infra”) on 11 December 2023 having commercial registration number 1521732. As of 31 March 2025, Infra is not operational, and no transactions are recorded in its books.
- ECO SPC, a wholly owned subsidiary, was established in September 2024 for the handling of the inventory of surplus and scrap equipment and materials from operations under the Block 6 Petroleum Agreements, the Block 6 Gas Concession Agreement and (subject to the relevant approvals) other oil and gas operations in the Sultanate of Oman.”

Under the Fiscal Protocol, which applies to the Group’s share of crude oil and gas production, including the applicability of royalties and taxes under the pre-existing Block 6 Oil Concession agreement, various additional agreements have been entered into between the Government and the Group. The agreements define the fiscal terms applicable to the Group’s revenue from the Block 6 Operations. The key agreements entered between the Government and the Group are as follows:

- Oil concession agreement
- Oil operating agreement
- PDO shareholders’ agreement
- the Block 6 Gas Concession Agreement which applies to Non-Associated Gas (“NAG”) and condensate, including its related taxes
- the Oman Export Blend sale and purchase agreement; and

Notes to the unaudited interim condensed consolidated financial statements (continued)

1. Background and Basis of preparation (continued)

1.1 Background (continued)

Formation of EDO (continued)

- the Natural gas sales agreement
- Fiscal Protocol
- Shareholder's bridge facility agreement

Oil Concession Agreement

The Government and Private Oil Holdings Oman Limited ("POHOL") had entered into an Oil Concession Agreement for Block 6 effective 1 January 2005 and expiring on 31 December 2044. Under this agreement, PDO operated as a cost centre, wherein all costs related to the Block 6 oil operations were incurred. PDO had no entitlement to proceeds from crude oil. The property, plant, and equipment ("PPE") relating to the Oil Operations were recognised in the books of PDO. The investment in PPE, operational costs, and other costs were funded 60% by the Government and 40% by POHOL as shareholders' contributions. The Oil Concession Agreement includes the right to use associated gas, which was internally consumed by PDO as part of the production process relating to the Oil Operations. The Government has novated the Oil Concession Agreement in favour of the Group effective 24 February 2021.

Oil Operating Agreement

The Government and POHOL (acting in their capacities as participants in the Oil Concession Agreement) and PDO (acting in its capacity as the Block 6 operator) entered into an operating agreement for Block 6, which took effect on 1 January 2005 (the "Oil Operating Agreement"). The Oil Operating Agreement will remain in effect for as long as the Oil Concession Agreement remains in force. On 24 December 2020, the Government transferred its rights and obligations under the Oil Operating Agreement to EDO with effect from 24 February 2021 in accordance with the terms of the Oil Operating Agreement.

Under the terms of the Oil Operating Agreement, PDO is authorised to act as operator of the Block 6 operations under the terms of the Oil Concession Agreement.

PDO Shareholders' Agreement

The Government, PDO, Shell, TotalEnergies, and PTTEP entered into the Petroleum Development Oman LLC shareholders' agreement (the "PDO Shareholders' Agreement"). The PDO Shareholders' Agreement became effective on 1 January 2005. On 24 December 2020, the Government transferred its rights and obligations under the agreement to EDO with effect from 24 February 2021 in accordance with the terms of the PDO Shareholders' Agreement.

The purpose of the PDO Shareholders' Agreement is to regulate the parties' respective rights and obligations with respect to the management and operation of PDO.

Gas Concession Agreements

In the capacity of the manager of the Gas Operations, PDO undertook all projects, operations, and activities directly or indirectly related to the exploration, development, extraction, and transportation of NAG in accordance with the directions of the Government. PDO had no entitlement to the proceeds from the sale of NAG. The gas sales agreements were entered into by the MoEM with the end customers. PDO had no ownership of the PPE relating to the Gas Operations. The investment in PPE, operational costs, and other costs was fully funded by the Government.

The Government has granted the Group the rights to explore, search and drill for, produce, develop, and sell NAG and Condensate in the Gas Concession Area in accordance with the terms of this Gas Concession Agreement effective 6 May 2021 and expiring on 31 December 2044. By virtue of this Gas Concession Agreement, the Group has exclusive ownership of all NAG at the point of gas production, exclusive ownership of condensate, and exclusive ownership of all gas assets, in accordance with the terms of this Gas Concession Agreement.

On 16 July 2023, EDO Board approved the amendment and novation of the Gas Concession Agreement and the NAG sales agreement, and the transfer thereof to GasCo by the Company.

Notes to the unaudited interim condensed consolidated financial statements (continued)

1. Background and Basis of preparation (continued)

1.1 Background (continued)

Formation of EDO (continued)

Oman Export Blend Sale and Purchase Agreement

The Group has entered into an agreement with the Government for the sale of 'Oman Export Blend' crude oil ("OEB"). Under the terms of this agreement, the Group shall sell its share of crude oil and condensate production to the MoEM or designated MoEM customers at the Mina Al Fahal ("MAF") terminal or at the designated delivery point. The MoEM maintains all the contracts with the end customers. The sale price for OEB is set out in the relevant oil sales agreement between the MoEM and the MoEM's customers. The Group will deliver the OEB to the relevant MoEM customer at the vessel's permanent manifold flange connection.

Natural Gas Sales Agreement

The Group has entered into an agreement with the Government to sell its entire NAG production to the Government at agreed fixed prices for the first 5 years of the agreement as determined in the agreement effective 6 May 2021. The agreed fixed price (per Metric Million British Thermal Unit ("MMBTU")) for 2021, 2022, 2023, 2024, and 2025 is US\$ 2.51, US\$ 2.59, US\$ 2.69, US\$ 2.77, and US\$ 2.89 respectively. Post the first 5 years, annual prices shall be determined for each subsequent 5-year period according to a blended transfer price calculation methodology, as defined in the agreement.

Fiscal Protocol

The Government has issued a fiscal guideline in relation to the Group's participating interest in the concession agreement for Block 6. This guideline (referred to as the "Fiscal Protocol"), also provides detailed information on royalties and taxes relevant to the Group.

LPG Novation Agreement

Existing agreements ("LPG Supply Agreements") for the Sale, Purchase, and Delivery of Liquefied Petroleum Gas ("LPG") were entered into between the MoEM and LPG Buyers. Effective 1 January 2025, the MoEM and GasCo entered into a novation agreement (the "LPG Novation Agreement") whereby all existing LPG Supply Agreements between MoEM and various LPG buyers were novated to GasCo. Under this agreement, MoEM has transferred and discharged all its rights, obligations, duties, and liabilities as the seller under the LPG Supply Agreements to GasCo.

Accordingly, GasCo has assumed the role of the LPG seller and will supply its entire LPG production to the LPG buyers at a fixed price of OMR 61 per metric ton, as stipulated in the Novation Agreement.

Transfer of surplus Associated Gas rights

Associated Gas ("AG") is produced as a by-product from oil reservoirs in Block 6. As per letter issued by the MoEM to EDO dated 8 September 2024, ownership of surplus AG was legally transferred to EDO. The selling price of the Associated Gas by EDO has been set at US\$ 1.50 per MMBTU as communicated by MoEM and MOF through an official letter to EDO, which will be subject to review after one year from the effective date of its application.

Shareholder's bridge facility agreement

The Group's funding policy requires Block 6 capital costs to be funded (i) through debt up to the debt capacity of FFO (Funds From Operations) / Debt of 45%, and (ii) the remaining balance of the Block 6 capital cost through Block 6 revenue.

The Group ("Borrower") entered into a shareholder bridge facility agreement ("Shareholder Loan Agreement" or "the bridge facility") with The Government of the Sultanate of Oman represented by the Ministry of Finance ("Government" or "Lender"). Under this agreement, the Government makes available to the Group a finance facility. Any amounts drawn down pursuant to the Bridge Facility may be effected by way of cash funds transfer or through Offsets (Offsets means any Bridge Loan or part thereof which, rather than being paid by way of a funds transfer, is satisfied / paid by way of making an adjustment / offset agreed by the Parties against funds payable by the Borrower to the Lender).

In the meeting held on 26 February 2023, the EDO Board approved the treatment of 2023 residual cash paid to MOF as a repayment of the shareholder loan balance (rather than a dividend payment).

Notes to the unaudited interim condensed consolidated financial statements (continued)

1. Background and Basis of preparation (continued)

1.1 Background (continued)

Formation of EDO (continued)

The Block 6 Operations

Prior to the “formation of EDO”, the Oil and Gas Operations of Block 6 (the “Block 6 Operations”) were conducted by the MoEM, the Ministry of Finance (the “MOF”), and PDO. PDO was a joint operation between the MoEM (60%) and Private Oil Holdings Oman Limited (“POHOL”) (40%).

1.2 Basis of Preparation

The unaudited interim condensed consolidated financial statements as of and for the three months ended 31 March 2025 have been prepared in accordance with International Accounting Standard IAS 34, *Interim Financial Reporting* (“IAS 34”). These unaudited interim condensed consolidated financial statements do not include all the information and disclosures required in the complete set of annual consolidated financial statements prepared in accordance with International Financial Reporting Standards (“IFRS”) accounting standards as issued by the International Accounting Standards Board (“IASB”) (“IFRS Accounting Standards”) as issued by the International Accounting Standards Board (“IASB”) and should be read in conjunction with the consolidated financial statements of the Group as of and for the year ended 31 December 2024. However, selected explanatory notes are included to explain events and transactions that are significant to an understanding of the changes in the Group’s financial position and performance since the last annual consolidated financial statements. In addition, results for the three-month period ended 31 March 2025 are not necessarily indicative of the results for the year ending 31 December 2025.

1.3 Going Concern

The Group’s current liabilities exceeded its current assets by US\$ 320,546 (‘000) as of 31 March 2025 (31 December 2024: US\$ 116,940 (‘000)). The net current liability position is primarily due shareholder loan (refer to note 13) amounting to US\$ 578,000 (31 December 2024: US\$ 907,000) classified under current liabilities. The liquidity risk associated with the shareholder loan is minimal. Further, the Board of Directors and management believe that the Group generates sufficient free cash flows to meet its liabilities and has adequate resources to continue in operational existence for the foreseeable future, and not less than 12 months from the end of the reporting period. Accordingly, the unaudited interim condensed consolidated financial statements have been prepared on the basis that the Group will continue to operate as a going concern.

2. Material accounting policy information

The accounting policies adopted in the preparation of the unaudited interim condensed consolidated financial statements are consistent with those followed in the preparation of the consolidated financial statements of the Group for the year ended 31 December 2024, except for accounting policy on the recognition of LPG and AG revenue by GasCo (refer note 2.1 below) and the adoption of new standards effective as of 1 January 2025 (refer note 2.2 below). The Group has not early adopted any standard, interpretation, or amendment that has been issued but is not yet effective. One amendment apply for the first time in 2025 but do not have an impact on the unaudited interim condensed consolidated financial statements of the Group.

2.1 Material accounting policies

Revenue from sale of LPG and AG

The LPG and AG produced by the upstream operations is sold to external customers. Revenue from the sale of LPG and AG is recognised at the point in time when control of the product is transferred to the customer. For LPG and AG, the control is transferred to the customer at the gas delivery point i.e., the inlet flange of the customer’s plant. Accordingly, the Company’s performance obligation is satisfied at the point when control of the LPG and AG is transferred to the customer.

The LPG price is determined based the LPG Novation Agreements entered between GasCo, MoEM and LPG Buyers with effect from 1 January 2025 and the AG price is determined based on letter issued by MoEM to GasCo for transfer of surplus AG rights with effect from 1 January 2025.

Notes to the unaudited interim condensed consolidated financial statements (continued)

2. Material accounting policy information (continued)

2.2 New standards, interpretations, and amendments adopted by the Group

Lack of Exchangeability – Amendments to IAS 21

The amendments to IAS 21 The Effects of Changes in Foreign Exchange Rates specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking. The amendments also require disclosure of information that enables users of its financial statements to understand how the currency not being exchangeable into the other currency affects, or is expected to affect, the entity's financial performance, financial position and cash flows.

The amendments are effective for annual reporting periods beginning on or after 1 January 2025. When applying the amendments, an entity cannot restate comparative information. The amendments did not have a material impact on the Group's financial statements.

3. Disclosure segment information

The Group is a combination of the following three components:

- the cost of exploration and production of crude oil from Oil Operations,
- the cost of exploration and production of NAG and condensate from the Gas operations, and
- the sales & marketing of the crude oil, NAG and condensate undertaken by the MoEM.

For the purpose of the unaudited interim condensed consolidated financial statements, the operating segment is organised into business units based on the types of products and various activities in which the Group is engaged and thus has three reportable segments, as follows:

- Crude oil segment - includes all activities related to crude oil exploration, production, sales, and marketing. This segment is further split into export and domestic sales categories.
- NAG & Condensate segment - includes activities related to:
 - the non-associated gas reserves that are developed;
 - the associated gas produced from oil reserves that are developed;
 - the liquefied petroleum gas reserves that are developed; and
 - the condensate exploration, production, sales, and marketing, which is blended with crude oil and sold at the same price.
- Corporates & others – includes leading strategic initiatives for new business streams, raising external debt, etc.

Segment performance is evaluated based on operating profit or loss and is measured consistently with operating profit or loss in the unaudited interim condensed consolidated financial statements.

The following tables present revenue and profit information for the Group's operating segments for the three-months period ended 31 March 2025:

Notes to the unaudited interim condensed consolidated financial statements (continued)

3. Disclosure segment information (continued)

31 March 2025 (unaudited)	<i>Crude oil</i> <i>US\$'000</i>	<i>NAG & condensate</i> <i>US\$'000</i>	<i>Corporate and others</i> <i>US\$'000</i>	<i>Adjustments & eliminations</i> <i>US\$'000</i>	<i>Total</i> <i>US\$'000</i>
External customers - crude oil	2,785,341	-	-	-	2,785,341
External customers - NAG	-	447,788	-	-	447,788
External customers - Condensate	-	529,375	-	-	529,375
External customers - LPG	-	787	-	-	787
External customers - AG	-	4,966	-	-	4,966
Total revenue	2,785,341	982,916	-	-	3,768,257
Depreciation on property, plant and equipment	696,606	257,829	-	-	954,435
Depreciation on right-of use assets	13,933	3,374	-	-	17,307
Interest income	634	-	1,549	-	2,183
Interest expense on lease liabilities	4,990	1,087	-	-	6,077
Interest expense on loans and borrowings	-	-	99,413	-	99,413
Profit / (loss) before tax	198,905	419,914	(108,599)	-	510,220

Notes to the unaudited interim condensed consolidated financial statements (continued)

3. Disclosure segment information (continued)

The following tables present revenue and profit information for the Group's operating segments for the three-months period ended 31 March 2024:

	<i>Crude oil</i>	<i>NAG & condensate</i>	<i>Corporate and others</i>	<i>Adjustments & eliminations</i>	<i>Total</i>
31 March 2024 (unaudited)	<i>US\$'000</i>	<i>US\$'000</i>	<i>US\$'000</i>	<i>US\$'000</i>	<i>US\$'000</i>
External customers - crude oil	2,945,425	-	-	-	2,945,425
External customers - NAG	-	441,391	-	-	441,391
External customers - Condensate	-	600,916	-	-	600,916
Total revenue	2,945,425	1,042,307	-	-	3,987,732
Depreciation on property, plant and equipment	720,162	288,572	-	-	1,008,734
Depreciation on right-of use assets	12,906	3,380	129	-	16,415
Interest income	455	-	2,225	-	2,680
Interest expense on lease liabilities	5,394	1,258	31	-	6,683
Interest expense on loans and borrowings	-	-	106,819	-	106,819
Profit / (loss) before tax	608,605	399,054	(117,243)	-	890,416

The following table presents assets and liabilities information for the Group's operating segments as at 31 March 2025 and 31 December 2024, respectively:

	<i>Crude oil</i>	<i>NAG & condensate</i>	<i>Corporate and others</i>	<i>Adjustments & eliminations</i>	<i>Total</i>
	<i>US\$'000</i>	<i>US\$'000</i>	<i>US\$'000</i>	<i>US\$'000</i>	<i>US\$'000</i>
31 March 2025 (unaudited)					
Segment Assets	15,288,364	10,019,401	2,230,378	(3,508)	27,534,635
Segment Liabilities	6,854,794	2,745,921	7,768,358	(3,508)	17,365,565
Other disclosures					
Capital expenditure*	665,372	304,983	-	-	970,355
31 December 2024 (audited)					
Segment Assets	15,654,550	9,973,226	2,218,449	(2,531)	27,843,694
Segment Liabilities	6,869,605	2,690,608	8,088,317	(2,531)	17,645,999
Other disclosures					
Capital expenditure*	2,718,176	1,124,673	-	-	3,842,849

* excluding abandonment assets

Notes to the unaudited interim condensed consolidated financial statements (continued)

3. Disclosure segment information (continued)

Adjustments and eliminations

The Group's organisational structure reflects the various activities in which the Group is engaged. On 31 March 2025 and 31 March 2024, the Group had three reportable segments: crude oil, NAG & Condensate, and corporate & others.

The outstanding balances between the crude oil segment and the NAG & condensate segment for three months ended 31 March 2025 amounted to US\$ 3,508 ('000) (31 December 2024: US\$ 2,531 ('000)).

4. Staff cost

	<i>Unaudited</i> <i>31-Mar-25</i> <i>US\$'000</i>	<i>Unaudited</i> <i>31-Mar-24</i> <i>US\$'000</i>
Basic salaries and allowances	(140,397)	(139,000)
Retirement benefit costs	(831)	(905)
Staff pension scheme	(13,608)	(12,662)
Variable pay	(33,435)	(31,280)
Overtime and others	(4,125)	(6,166)
	<u>(192,396)</u>	<u>(190,013)</u>

During the three- months ended 31 March 2025 and 2024, staff costs of US\$ 58,092 ('000) and US\$ 72,720 ('000) respectively, were capitalised in "Production wells & production facilities" and "Work in progress".

Staff costs of US\$ 85,682 ('000) and US\$ 134,269 ('000) for the three months ended 31 March 2025 and 2024, respectively, are included within production expenses.

5. Other operating income

	<i>Unaudited</i> <i>31-Mar-25</i> <i>US\$'000</i>	<i>Unaudited</i> <i>31-Mar-24</i> <i>US\$'000</i>
OBRDA compensation	5,988	8,499
Gain on disposals of property, plant and equipment	66	5,227
Foreign exchange gain	-	908
Tender, other fees	150	250
	<u>6,204</u>	<u>14,884</u>

6. Finance costs

	<i>Unaudited</i> <i>31-Mar-25</i> <i>US\$'000</i>	<i>Unaudited</i> <i>31-Mar-24</i> <i>US\$'000</i>
Unwinding cost on abandonment provision (Note 11)	(54,195)	(52,110)
Interest expense on lease liabilities	(6,077)	(6,683)
Bank interest	(40,202)	(56,424)
Shareholder's loan interest	(33,962)	(34,196)
Profit on Sukuk bond	(25,249)	(16,199)
	<u>(159,685)</u>	<u>(165,612)</u>

Notes to the unaudited interim condensed consolidated financial statements (continued)

7. Property, plant, and equipment

	<i>Production wells & production facilities</i> <i>US\$'000</i>	<i>Concession & preliminary expenses</i> <i>US\$'000</i>	<i>Building, repair shop, airport and instrumentation</i> <i>US\$'000</i>	<i>Movables, vehicle, software, computing & communication</i> <i>US\$'000</i>	<i>Main Oil/Gas Line & other facilities</i> <i>US\$'000</i>	<i>Exploration and evaluation assets</i> <i>US\$'000</i>	<i>Work in progress</i> <i>US\$'000</i>	<i>Abandonment assets</i> <i>US\$'000</i>	<i>Total</i> <i>US\$'000</i>
Cost									
At 1 January 2025 (audited)	64,846,716	4,620	1,909,489	1,084,178	745,373	115,211	994,552	2,110,736	71,810,875
Additions (unaudited)	621,315	-	2,272	4,871	3,708	62,152	276,037	95,329	1,065,684
Change in estimates (unaudited)	-	-	-	-	-	-	-	57,187	57,187
Transfer within assets classes / to other assets (unaudited)	234,061	-	11,264	-	240	-	(245,565)	-	-
Assets written-off and / or disposed (unaudited)	-	-	-	-	-	-	-	(9,057)	(9,057)
At 31 March 2025 (unaudited)	65,702,092	4,620	1,923,025	1,089,049	749,321	177,363	1,025,024	2,254,195	72,924,689
Depreciation									
At 1 January 2025 (audited)	(44,779,352)	(4,620)	(971,789)	(863,345)	(482,283)	-	-	(1,115,505)	(48,216,894)
Charge for the period (unaudited)	(864,185)	-	(24,579)	(12,204)	(4,146)	-	-	(49,321)	(954,435)
At 31 March 2025 (unaudited)	(45,643,537)	(4,620)	(996,368)	(875,549)	(486,429)	-	-	(1,164,826)	(49,171,329)
Net book value at 31 March 2025 (unaudited)	20,058,555	-	926,657	213,500	262,892	177,363	1,025,024	1,089,369	23,753,360

1. The net book value of assets written off and/or disposed (excluding abandonment assets) for the period ended 31 March 2025 amounted to US\$ nil and the sale consideration received against the disposal of the assets is US\$ 66 ('000). The gain on disposals of property, plant, and equipment amounting to US\$ 66 ('000) is recognized under 'other operating income' in the unaudited interim condensed consolidated statement of profit or loss and other comprehensive income.
2. Work-in-progress also includes depreciation expenses on right-of-use assets and interest expenses on lease liabilities that were capitalised amounted to US\$ 34,016 ('000) and US\$ 6,491 ('000) respectively. These are considered as non-cash transactions and therefore, excluded from the unaudited interim condensed consolidated statement of cash flows.

Notes to the unaudited interim condensed consolidated financial statements (continued)

7. Property, plant, and equipment (continued)

	<i>Production wells & production facilities</i> US\$'000	<i>Concession & preliminary expenses</i> US\$'000	<i>Building, repair shop, air port and instrumentation</i> US\$'000	<i>Movables, vehicle, software, computing & communication</i> US\$'000	<i>Main Oil Line & other facilities</i> US\$'000	<i>Exploration and evaluation assets</i> US\$'000	<i>Work in progress</i> US\$'000	<i>Abandonment Assets</i> US\$'000	<i>Total</i> US\$'000
Cost									
At 1 January 2024 (audited)	60,424,919	4,620	1,775,931	1,005,304	737,183	35,950	1,950,126	2,119,534	68,053,567
Additions	1,565,701	-	24,491	42,733	7,553	205,246	1,997,125	201,662	4,044,511
Change in estimates	-	-	-	-	-	-	-	(112,441)	(112,441)
Transfer within assets classes / to other assets	2,880,833	-	109,386	36,141	664	(74,325)	(2,952,699)	-	-
Assets written-off and / or disposed	(24,737)	-	(319)	-	(27)	(51,660)	-	(98,019)	(174,762)
At 31 December 2024 (audited)	64,846,716	4,620	1,909,489	1,084,178	745,373	115,211	994,552	2,110,736	71,810,875
Depreciation									
At 1 January 2024 (audited)	(41,388,421)	(4,620)	(900,420)	(813,726)	(465,737)	-	-	(985,586)	(44,558,510)
Charge for the year	(3,406,545)	-	(70,978)	(48,867)	(16,573)	-	-	(129,919)	(3,672,882)
Transfer within assets classes / to other assets	1,459	-	(707)	(752)	-	-	-	-	-
Assets written-off and / or disposed	14,155	-	316	-	27	-	-	-	14,498
At 31 December 2024 (audited)	(44,779,352)	(4,620)	(971,789)	(863,345)	(482,283)	-	-	(1,115,505)	(48,216,894)
Net book value at 31 December 2024 (audited)	20,067,364	-	937,700	220,833	263,090	115,211	994,552	995,231	23,593,981

1. The net book value of assets written off and/or disposed (excluding abandonment assets) for the year ended 31 December 2024 amounted to US\$ 135 ('000) and the sale consideration received against the disposal of asset is US\$ 5,362 ('000). The gain on disposals of property, plant, and equipment amounting to US\$ 5,227 ('000) is charged to 'other operating income' in the unaudited interim condensed consolidated statement of profit or loss and other comprehensive income.
2. Work-in-progress also includes depreciation expenses on right-of-use assets and interest expenses on lease liabilities that were capitalised amounting to US\$ 34,819 ('000) and US\$ 5,432 ('000) respectively. These are considered as non-cash transactions and therefore, excluded from the unaudited interim condensed consolidated statement of cash flows.
3. For the three-month period ended 31 March 2024, borrowing cost amounting to US\$ 11,134 ('000) is capitalised in work-in-progress.

Notes to the unaudited interim condensed consolidated financial statements (continued)

8. Inventories

As of 31 March 2025, the provision for obsolete inventories is US\$ 36,631 ('000) (31 December 2024: US\$ 36,631 ('000)).

9. Financial assets and financial liabilities

There are no assets and liabilities for which fair value is measured or disclosed in the unaudited interim condensed consolidated financial statements. The fair values of financial assets and financial liabilities are not materially different from their carrying values. Set out below, is an overview of financial assets, other than cash and bank balances, (net off provision for expected credit loss) held by the Group as at 31 March 2025 and 31 December 2024:

	<i>Unaudited 31-Mar-25 US\$'000</i>	<i>Audited 31-Dec-24 US\$'000</i>
Financial assets at amortised cost		
<i>Current</i>		
Due from related parties	1,912,300	1,802,637
Housing loans	1,083	2,958
Trade receivables (part of receivables and prepayments)	17,475	18,450
Other receivables (part of receivables and prepayments)	20,504	11,170
<i>Non-current</i>		
Housing loans	5,898	7,525
	1,957,260	1,842,740
 Total current	 1,951,362	 1,835,215
Total non-current	5,898	7,525
	1,957,260	1,842,740

Provision for expected credit loss

	<i>Trade and other receivables US\$'000</i>	<i>Housing loans receivables US\$'000</i>	<i>Related party receivables US\$'000</i>
Provision for expected credit loss			
At 31 Dec 2024 (audited)	17,048	690	1,330
Additions (unaudited)	-	-	-
At 31 March 2025 (unaudited)	17,048	690	1,330
 At 31 Dec 2023 (audited)	 15,822	 690	 1,330
Additions (unaudited)	-	-	-
At 31 March 2024 (unaudited)	15,822	690	1,330

Notes to the unaudited interim condensed consolidated financial statements (continued)

9. Financial assets and financial liabilities (continued)

Set out below is an overview of financial liabilities held by the Group as at 31 March 2025 and 31 December 2024:

	<i>Unaudited</i> 31-Mar-25 <i>US\$'000</i>	<i>Audited</i> 31-Dec-24 <i>US\$'000</i>
Financial liabilities at amortised cost		
<i>Current</i>		
Due to related parties	16,514	15,863
Lease liabilities	233,149	238,915
Trade payables (part of payables and accruals)	383,816	434,289
Accrued expenses (part of payables and accruals)	512,681	558,731
Other payables (part of payables and accruals)	91,298	95,387
Royalty payables (part of payables and accruals)	725,392	678,544
Loans and borrowings	578,000	907,000
<i>Non-current</i>		
Lease liabilities	624,317	669,182
Loans and borrowings	6,689,939	6,688,778
Due to related parties	104,105	104,594
	9,959,211	10,391,283
Total current	2,540,850	2,928,729
Total non-current	7,418,361	7,462,554
	9,959,211	10,391,283

Risk management

Market risk

The risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices.

Market risk comprises three types of risk: commodity price risk, interest rate risk, and foreign currency risk.

Commodity price risk

Based on the assumption that the crude oil price moves +/- 20% this would result in a change of US\$ 15/bbl for the three-month period ended 31 March 2025 (31 March 2024: US\$ 16/bbl), with a consequent:

- increase in profit before tax of US\$ 202,649 ('000) in case of a 20% increase in crude oil price for the three-month period ended 31 March 2025 (31 March 2024: US\$ 217,698 ('000)) and
- decrease in profit before tax of US\$ 187,161 ('000) in case of a 20% decrease in crude oil price for the three-month period ended 31 March 2025 (31 March 2024: US\$ 199,352 ('000)), respectively, where all other variables are held constant.

Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Interest rate risk from changes in interest rates that affect the fair value or future cash flows of financial instruments, is significant for the Group as there are material interest-bearing instruments.

The sensitivity analyses below have been determined based on the exposure to interest rates for instruments at the reporting date. For floating rate liabilities, the analysis is prepared assuming the amount of liability outstanding at the reporting date was outstanding for the whole year. A 50 basis point increase or decrease is used when reporting interest rate risk internally to key management personnel and represents management's assessment of the reasonably possible change in interest rates.

The following table demonstrates the sensitivity to a reasonably possible change in interest rates on the floating rate term loans, with all other variables held constant, of the Group's profit before tax for the period (through the impact on floating rate borrowings rates). There is no direct impact on the Group's equity.

Notes to the unaudited interim condensed consolidated financial statements (continued)

9. Financial assets and financial liabilities (continued)

Risk management (continued)

Market Risk (continued)

31 March 2025 (Unaudited)	<i>Increase/Decrease in basis points</i>	<i>Effect on profit before tax US\$ 000</i>
	+50	(2,500)
	-50	2,500

31 March 2024 (Unaudited)	<i>Increase/Decrease in basis points</i>	<i>Effect on profit before tax US\$ 000</i>
	+50	(2,911)
	-50	2,911

Foreign currency risk

Currency risk in respect of the Group is mitigated significantly via a policy of awarding contracts and purchase orders mainly in US\$ or Omani Rials only. The Omani Rial is effectively pegged to the US\$. Only in exceptional cases, based on a commercial evaluation, are contracts/purchase orders awarded denominated in other currencies and therefore are not considered to have significant impact on the Group.

Credit risk

Credit risk is the risk that counterparties might not fulfil their contractual payment obligations towards an entity.

The Group is exposed to credit risk in respect of its trade and other receivables, housing loans, due from related parties and bank balances. Credit risk is controlled as balances are regularly reviewed and, where necessary an appropriate recovery action is taken.

The expected credit loss model is applied for recognition and measurement of impairments in financial assets measured at amortised cost. Such credit losses have historically been nominal and the loss allowance for trade and other receivables, housing loans, due from related parties is presented in Note 9 above. The financial assets include cash and cash at bank held with leading and reputed banks (refer note 10).

Liquidity risk

This is the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities. Management regularly monitors future liquidity requirements. Royalty payables, trade payables, accrued expenses, other payables and due to related parties are generally settled within 30 to 45 days of receipt of invoice, based on the contractual terms. For loans and borrowings and lease liabilities, it is based on the term and conditions of respective agreements with relevant counter parties.

10. Cash and bank balances

	<i>Unaudited 31-Mar-25 US\$'000</i>	<i>Audited 31-Dec-24 US\$'000</i>
Cash at bank	327,857	435,398
Cash in hand	87	88
	327,944	435,486
Restricted cash*	(9,708)	(6,916)
Cash and bank balances for cash flow purposes	318,236	428,570

Notes to the unaudited interim condensed consolidated financial statements (continued)

10. Cash and bank balances (continued)

*Cash and bank balances include US\$ 9,708 ('000) (31 December 2024: US\$ 6,916 ('000)) balances relating to block 10 & 11 under the master service agreement between EDO and Shell Development Oman (SDO).

	<i>Unaudited</i> 31-Mar-25 <i>US\$'000</i>	<i>Audited</i> 31-Dec-24 <i>US\$'000</i>
<i>Balances with:</i>		
Energy Development Oman S.A.O.C. and its subsidiaries	315,664	419,360
Petroleum Development Oman LLC	12,280	16,126
	327,944	435,486

The Group is voluntarily maintaining a balance in a separate bank account to service the next 3 months of principal and interest obligations on its loan facilities. Currently, the Group is maintaining this balance to cover liability associated with the US\$ 2,000,000 ('000) term loan, OMR 375,000 ('000) term loan, and Sukuk trust certificates. There is no restriction on the usage of this balance.

For the Group, cash equivalents comprise cash at bank (in current accounts). These balances earn some small amount of interest and can be withdrawn on demand. Considering the macroeconomic factors, the management has not assumed any probability of default relating to these financial assets.

11. Abandonment provision

	<i>Unaudited</i> 31-Mar-25 <i>US\$'000</i>	<i>Audited</i> 31-Dec-24 <i>US\$'000</i>
Non-current		
At 1 January	3,373,794	3,176,514
Additions in provision due to asset acquisition	95,329	201,662
Reduction in provision due to disposals	(9,056)	(98,019)
Remeasurements and change in estimates	57,187	(112,521)
Unwinding of interest cost	54,195	206,158
At 31 March / December	3,571,449	3,373,794

The Group makes full provision for the future cost of the decommissioning of oil and gas wells and production facilities on a discounted basis on the installation of those wells and infrastructure. The abandonment provision represents the present value of the abandonment costs relating to oil and gas properties, which are expected to be incurred up to 2044 for oil and gas when the producing oil and gas properties are expected to cease operations. These provisions have been created based on the Group's internal estimates. Assumptions are based on the current economic environment adjusted for suitable inflation, which management believes forms a reasonable basis upon which to estimate the future liability. These estimates are reviewed regularly to take into account any material changes to the assumptions.

Changes in existing decommissioning, restoration, and similar liabilities, are deducted from the cost of related abandonment assets and shall not exceed the carrying amount of the related abandonment asset. If a decrease in the liability exceeds the carrying amount of the related abandonment asset, the excess shall be recognised in the statement of profit or loss and other comprehensive income. During the three-month period ended 31 March 2025, the Group booked a gain on remeasurements and change in estimates of abandonment provision amounting to US\$ nil (31 March 2024: US\$ nil). Accordingly, the gain has been recognised under the other operating income in the unaudited interim condensed consolidated statement of profit or loss and other comprehensive income.

The additions, reductions and remeasurements and change in estimates are non-cash transactions.

The utilization of the provision in the next twelve months period is not expected to be significant and therefore, the entire abandonment provision is classified as non-current liabilities.

Notes to the unaudited interim condensed consolidated financial statements (continued)

12. Net retirement benefit assets

The Omani Staff Pension Scheme (the "Pension Scheme") is a defined benefit retirement scheme which is a separately administered unregistered pension scheme maintained by PDO for the benefit of its Omani staff. The contribution by Omani staff was 7% of their basic salaries plus allowances whilst the contributions made by PDO was 36.6% of their basic salaries plus allowances. The Pension Scheme ended on 31 December 2023.

Net retirement benefit assets represents the fair value of Pension Scheme net assets less present value of funded obligations. The last actuarial valuation of the Pension Scheme shows the described Pension Scheme's position.

	<i>Unaudited</i> 31-Mar-25 US\$'000	<i>Audited</i> 31-Dec-24 US\$'000
Fair value of Pension Scheme net assets	2,685,314	2,685,314
Present value of funded obligations	(2,274,281)	(2,274,281)
	411,033	411,033
Provision for settlement of net retirement benefit assets	(411,033)	-
Net retirement benefit assets	-	411,033

The present value of funded obligations has not been remeasured since 31 December 2024.

Settlement of net retirement benefit assets

As of 31 December 2023, the Omani Staff Pension Scheme (the "Pension Scheme"), a defined benefit retirement scheme, was discontinued. In line with this, the PDO Omani Pension Fund ("OPF") was mandated to transfer a portion of its liabilities and an equivalent amount of assets to the Social Protection Fund ("SPF"). Effective 1 January 2024, the Group has commenced contributions to the SPF under the Social Protection Law. However, as of 31 December 2024, discussions between PDO and SPF were still ongoing to finalize the exact amount of liabilities and corresponding assets to be transferred.

Subsequently, on 14 April 2025, PDO received and acknowledged Royal Directives issued by His Majesty the Sultan, as communicated via Private Office Letter Ref. No. 159/2025 dated 20 March 2025 and confirmed through Board Circular BC/2025/007. These Directives mandated the full transfer of all the assets and liabilities maintained at OPF to the SPF.

In accordance with the Royal Directives, all residual pension-related obligations and associated employee liabilities, including any existing or potential legal claims arising from the merger of the pension funds, are to be transferred to the SPF. The SPF will assume full responsibility for the payment of accrued and residual pension entitlements to eligible PDO employees.

As a result of the above, PDO will effectively and irrevocably extinguish all present and future obligations upon the full transfer of all the assets and liabilities maintained at OPF to the SPF. Accordingly, PDO has recognized a provision for loss on settlement of net retirement benefit assets. As per IAS 19, loss on settlement is the difference between present value of the defined benefit obligation being settled and the fair value of the plan assets transferred.

13. Related party transactions

The Group is ultimately held and controlled by the Government of the Sultanate of Oman. The Group operates in an economic environment dominated by entities directly or indirectly controlled by the Government of the Sultanate of Oman through its government authorities, agencies, affiliations, and other organisations, collectively referred to as government-related entities.

Notes to the unaudited interim condensed consolidated financial statements (continued)

13. Related party transactions (continued)

The Group has elected to take the exemption available under IAS 24 Related Party Disclosures, to disclose only the key transactions and outstanding balances, including commitments, with the Government of the Sultanate of Oman and any other entity that is considered to be a related party because the same government has control, joint control or significant influence over itself and the other entity.

The Group has transactions with other government-related entities, including but not limited to sales and purchases of goods, rendering and receiving services, and use of public utilities. These transactions are conducted in the ordinary course of the Group on terms comparable to those with other entities that are not government related.

The nature of the related party transaction with the Government entities that are considered to be significant transactions and that have significant balances outstanding as at the end of the reporting periods are detailed below:

Revenue

The Group's 100% NAG revenue is from Government entities amounting to US\$ 447,788 ('000) for the three months ended 31 March 2025 (31 March 2024: US\$ 441,391 ('000)) with corresponding receivables of US\$ 298,027 ('000) as at 31 March 2025 (31 December 2024: US\$ 306,155 ('000)).

With respect to crude oil, 100% of revenue is from Government amounting to US\$ 2,785,341 ('000) during the three-month period ended 31 March 2025 (31 March 2024: US\$ 2,945,425 ('000)) with a corresponding receivable of US\$ 1,606,626 ('000) as at 31 March 2025 (31 December 2024: US\$ 1,117,164 ('000)).

With respect to condensate revenue, 100% of the revenue is from the Government amounting to US\$ 529,375 ('000) during the three-month period ended 31 March 2025 (31 March 2024: US\$ 600,916 ('000)) with a corresponding receivable of US\$ 336,413 ('000) as at 31 March 2025. (31 December 2024: US\$ 371,135 ('000)).

With respect to AG revenue, 100% of the revenue is from the Government amounting to US\$ 4,966 ('000) during the three-month period ended 31 March 2025 (31 March 2024: US\$ nil) with a corresponding receivable of US\$ 4,966 ('000) as at 31 March 2025. (31 December 2024: US\$ nil).

Other operating income

Other operating income includes compensation received from a related Government entity for the lower grade of crude oil and condensate of US\$ 5,988 ('000) during the three-month period ended 31 March 2025 (31 March 2024: US\$ 8,499 ('000)) with corresponding receivables of US\$ 1,608 ('000) as at 31 March 2025 (31 December 2024: US\$ 4,758 ('000)).

Royalty

The Royalty is paid by the Group to the Government on its weekly revenue. For the three-months period ended 31 March 2025 the Group has recognised royalty expenses of US\$ 1,422,196 ('000) and US\$ 1,577,343 ('000) for the three-months period ended 31 March 2024 with a corresponding payable of US\$ 725,392 ('000) as of 31 March 2025. (31 December 2024: US\$ 678,544 ('000)).

Distribution of assets in specie

During the three-month period ended on 31 March 2025, out of the total Group's share of oil production, the Group transferred production volumes of 450 ('000) barrels (31 March 2024: 455 ('000)) to the Government (non-cash transaction). This arrangement amounting to US\$ 12,265 ('000) for the three-months period ended 31 March 2025 and US\$ 12,193 ('000) for the three-months period ended 31 March 2024 is considered as an equity transaction and accounted for as a distribution of asset in specie to the Government under retained earnings.

Notes to the unaudited interim condensed consolidated financial statements (continued)

13. Related party transactions (continued)

Loan from the Omani Pension Fund

PDO has entered into a credit facility with the Omani Pension Fund, under which PDO has utilised the loan proceeds in the development of a project in Ras Al Hamra ("RAH"). The amount due to the Omani Pension Fund and related accrued interest amounts to US\$ 61,412 ('000) as at 31 March 2025 (31 December 2024: US\$ 61,901 ('000)). Interest is charged at 4.8% per annum on the loan. Principal repayment will start annually from the second half of 2025 and it will be fully repaid by 2043.

Interim dividend

During the three months period ended 31 March 2025, the Group has declared interim dividends (non-cash transaction) amounting to US\$ nil (31 March 2024: US\$ 998,452 ('000)) out of which it has paid no dividend to its shareholder (31 March 2024: nil). The dividend payable as of 31 March 2025 amounting to US\$ nil has been transferred to shareholder loan account (31 December 2024: US\$ 1,649,448 ('000)).

Shareholder loan

The Group has contractually agreed with its shareholder to classify the dividend payable as an outstanding loan to fund the Block 6 capital costs. The repayment of this loan (the shareholder loan) will be based on terms specified in the agreement with an interest of 5% p.a. payable on the outstanding amount. Shareholder loan is grouped as part of "loans and borrowings" and during the three months period ended 31 March 2025 the Group has repaid US\$ 329,000 ('000) towards shareholder loan (31 March 2024: US\$ 261,000 ('000)). The dividend payable as of 31 March 2025 amounting to US\$ nil has been transferred into the shareholder loan account (31 December 2024: US\$ 1,649,448 ('000)).

Transactions with Key managerial personnel* ("KMP")

	<i>Unaudited 31-Mar-25 US\$'000</i>	<i>Unaudited 31-Mar-24 US\$'000</i>
Salaries and other benefits	6,306	6,832

*KMP are those persons having authority and responsibility for planning, directing, and controlling the activities of the Group, directly or indirectly, including any director (whether executive or otherwise) of that Group. The Group considers the Chief Executive Officer, Chief Financial Officer, the directors, and the senior members of EDO / PDO / Gas operations as KMP.

14. Income tax

The Group's obligation to pay current tax is defined in the Fiscal Protocol and shall be recurring in nature. The Group is liable to pay tax at an amount equal to fifty-five percent (55%) of its income chargeable to tax from 24 February 2021 for oil operations and from 06 May 2021 for NAG & condensate operations.

Since the taxes were applicable only from the financial year 2021 there is an opening non-deductible element arising on account of the difference between the accounting base ("IFRS Accounting Standards") and continuing tax base (as per concession agreement) of depreciation on property plant and equipment as the Group availed the initial recognition exception under IAS 12 - '*Income Taxes*'. Accordingly, the effective tax rate is expected to be significantly higher than the tax rate of 55% due to the non-deductible element on initial recognition. The major components of income tax expense in the interim condensed consolidated statement of profit or loss and other comprehensive income are:

Notes to the unaudited interim condensed consolidated financial statements (continued)

14. Income tax (continued)

	<i>Unaudited</i> <i>31-Mar-25</i> <i>US\$'000</i>	<i>Unaudited</i> <i>31-Mar-24</i> <i>US\$'000</i>
Income taxes		
Current income tax expense	(756,938)	(788,740)
<i>Deferred income tax expense relating to origination and reversal of temporary differences:</i>		
Deferred tax asset	327,648	109,988
Deferred tax liabilities	(139,017)	(127,061)
Income tax expense recognised in consolidated statement of profit or loss	(568,307)	(805,813)

Tax liability amounting to US\$ 285,295 ('000) is payable as of 31 March 2025 (31 December 2024: US\$ 105,994 ('000)).

Reconciliation of effective tax rate:

	<i>Unaudited</i> <i>31-Mar-25</i> <i>US\$'000</i>	<i>Unaudited</i> <i>31-Mar-24</i> <i>US\$'000</i>
Accounting profit before tax:	510,220	890,416
Tax using Company's statutory tax rate of 55% (2024: 55%)	280,621	489,729
Less: tax effect items which are taxed at a lower rate	(873)	(1,072)
Add: tax effect on permanent difference expenses in accordance with Fiscal Protocol	54,677	58,750
Add: tax effect of the unwinding of the permanent difference on IRE of PPE	205,230	265,112
Less: tax effect on special arrangement	(6,746)	(6,706)
Add: adjustment of deferred tax amount (OCI) on reversal of net retirement benefit assets to statement of profit or loss	35,398	-
At the effective income tax rate of 111% (2024: 90%)	568,307	805,813
Income tax expense reported in the statement of profit or loss	568,307	805,813

Deferred tax

Deferred tax related to items recognised in OCI during the period:

	<i>Unaudited</i> <i>31-Mar-25</i> <i>US\$'000</i>	<i>Unaudited</i> <i>31-Mar-24</i> <i>US\$'000</i>
Re-measurement of pension fund obligation	35,397	(64,427)
Deferred tax liability / (asset) recognised in OCI during in the year	35,397	(64,427)

Notes to the unaudited interim condensed consolidated financial statements (continued)

15. Capital commitments

	<i>Unaudited</i> 31-Mar-25 <i>US\$'000</i>	<i>Audited</i> 31-Dec-24 <i>US\$'000</i>
Future capital expenditure authorised by the Board of Directors of PDO and Gas Operations	21,481,000	21,977,400

16. Mabrouk North East (Block 10 & Block 11)

A Master Services Agreement (the Agreement) between EDO Gas Operations and Shell Development Oman LLC (SDO) was executed in March 2022 for Block 10 and November 2022 for Block 11. The agreement provides a framework to enable EDO Gas Operations to provide certain services to SDO on an "at cost" basis. Accordingly EDO Gas Operations, for the purposes of providing services under the Agreement maintains certain working capital (cash at bank, other receivables, receivable from SDO, and payables and accruals) items in EDO Gas Operation's books such as cash at bank, payable to vendors, etc. which are offset by the receivable due from SDO.

17. Climate-related risks

The Group and its customers may face significant climate-related risks in the future. These risks include the threat of financial loss and adverse non-financial impacts that encompass the political, economic, and environmental responses to climate change. The key sources of climate risks have been identified as physical and transition risks. Physical risks arise as the result of acute weather events such as hurricanes, floods, and wildfires, and longer-term shifts in climate patterns, such as sustained higher temperatures, heat waves, droughts, and rising sea levels and risks. Transition risks may arise from the adjustments to a net-zero economy, e.g., changes to laws and regulations, litigation due to failure to mitigate or adapt, and shifts in supply and demand for certain commodities due to changes in consumer behaviour and investor demand. These risks are receiving increasing regulatory, political, and societal scrutiny, both within the country and internationally. While certain physical risks may be predictable, there are significant uncertainties as to the extent and timing of their manifestation. For transition risks, uncertainties remain as to the impacts of the impending regulatory and policy shifts, changes in consumer demands, and supply chains. The Group is currently under progress in embedding climate risk in its Risk framework, including the development of appropriate risk appetite metrics and maintaining policies, processes and controls to incorporate climate risks in the management of principal risk categories. Despite the progress, the Group acknowledges the need for further efforts to fully integrate climate in the Group's risk assessments and management protocols.

18. Legal claims contingency

The Group is subject to claims and actions for which no provisions have been recognised. The facts and circumstances relating to particular cases are evaluated regularly in determining whether a provision relating to specific litigation should be recognised or revised. Accordingly, significant management judgement relating to provisions and contingent liabilities is required, since the outcome of litigation is difficult to predict.

19. New standards, interpretations, and amendments issued but not yet effective

The new and amended standards that are issued, but not yet effective, up to the date of issuance of the Group's condensed interim consolidated financial statements are disclosed below. The Group intends to adopt these new and amended standards, if applicable when they become effective.

Notes to the unaudited interim condensed consolidated financial statements (continued)

19. New standards, interpretations, and amendments issued but not yet effective (continued)

The Group is currently assessing the impact of the amendments below that are not yet effective:

New standards or amendments	Effective date
• Classification and Measurement of Financial Instruments – Amendments to IFRS 9 and IFRS 7	1 January 2026
• Contracts Referencing Nature-dependent Electricity – Amendments to IFRS 9 and IFRS 7	1 January 2026
• Annual Improvements to IFRS Accounting Standards – Volume 11	1 January 2026
• IFRS 18 Presentation and Disclosure in Financial Statements	1 January 2027
• IFRS 19 Subsidiaries without Public Accountability: Disclosures	1 January 2027
• Sale or Contribution of Assets between an Investor and its Associate or Joint Venture (Amendments to IFRS 10 and IAS 28)	Available for optional adoption / effective date deferred indefinitely